

MOUNTAIN VISTA WATER CO-OP MEMBERSHIP AGREEMENT

THIS AGREEMENT made effective this ____ day of _____, 20 ____.

BETWEEN:

Mountain Vista Water Co-op Ltd.,
of
P.O. Box 32, Hill Spring, AB T0K 1E0
(the “**Co-op**”)

-and-

_____,
of _____
(the “**Water User**”)

WHEREAS the County of Cardston has agreed to supply water to members of the Co-op;

AND WHEREAS the Co-op operates to facilitate the delivery of Water from the County of Cardston to its members;

AND WHEREAS membership in the Co-op is available to those water users who meet current membership requirements as set forth by the Co-op’s board of directors (the “Board of Directors”);

AND WHEREAS the Water User desires to become a member of the Co-op to benefit from the supply of water from the County of Cardston;

NOW THEREFORE in consideration of the mutual premises and covenants contained in this Agreement, and other good and valuable consideration, the receipt and sufficiency of which is hereby acknowledged, the parties to this Agreement agree as follows:

Water User’s Land

1. The water shall be delivered to the Water User’s land legally described as:

(the “Land”)

Water Delivery

2. The Co-op agrees to facilitate the supply of water from the County of Cardston (the “**County**”) to the Water User and the Water User agrees to use and pay for the Co-op’s services on the terms and conditions of this Agreement.

3. A water meter (the “**Meter**”) and curb stop (the “**CC**”) shall be placed on the Water User’s Land in a location chosen jointly by the Co-op and the Water User, according to what is suitable and practical. The Water User agrees not to alter or tamper with the Meter or CC or to increase the water flow to the Water User’s Land.

4. Except as otherwise provided, the Co-op shall be responsible for all costs and expenses in constructing pipelines, meters, regulators and other facilities required to deliver the water from the Co-op's cistern (the "**Cistern**") to the outlet of the Meter on the Water User's Land (the "**Water Delivery System**"), as well as all maintenance, repairs and replacements to the same. The Water User shall be responsible for the maintenance, repair and replacement of the Meter located on the Water User's Land.

Secondary Piping

5. The Water User shall be responsible for the cost of installation, maintenance, inspection and replacement of all piping beyond the Meter and CC, within their Land, including, but not limited to, the piping from the Meter and CC to any delivery points (the "Secondary Piping"), and shall assume all risk and responsibility with respect to the same. The Water User agrees that construction, maintenance, inspection and replacement of any such Secondary Piping shall be done in accordance with all laws, statutes and by-laws, as well as any rules or regulations set by the Board of Directors. The Water User agrees to allow the Co-op the right to inspect the Secondary Piping, but such inspection shall not absolve the Water User of its responsibility to inspect, maintain, construct and replace the Secondary Piping.

Construction Costs

6. The Water User, upon becoming a member of the Co-op shall pay to the Co-op a sum of \$2500, which will be used towards the cost of construction of the Water Delivery System, and set-up costs with the County.

7. Title to the Water Delivery System up to the Meter shall be vested in the Co-op notwithstanding the contribution to the cost hereof made by the Water User. The Co-op shall have the right to make use of and continue any extension to the Water Delivery System for the purpose of serving other Co-op members.

8. In the event that the Co-op decides to complete substantial maintenance to or an upgrade of the Water Delivery System, the Water User agrees to pay its pro rata share of the costs of said maintenance or upgrade, if the funds the Co-op has in the reserve fund are insufficient to cover the costs.

Access

9. The Water User hereby agrees to grant reasonable access to the Co-op to the Land for the purposes of inspecting, maintaining, constructing and repairing the Meter, CC and Water Delivery System as required to deliver water to the Water User's Land.

Operating Charges

10. The Water User agrees to pay the Co-op an annual operating charge, which would include other community fees, as set by the Board of Directors from time to time (the "Operating Charge"). The Co-op shall issue an invoice to the Water User for the Operating Charges and such invoice shall be payable to the Co-op no later than 30 days following the date of the invoice.

11. Any Operating Charges left unpaid when due shall be subject to a late payment fee of \$100.00.

12. Any Operating Charges left unpaid for a period of 30 days or more shall be subject to interest at a rate of 24% per annum.

Water Use

13. The Water User agrees that the raw water provided under this Agreement shall be used for householder domestic purposes only.

14. The Water User shall not resell any water delivered to them under this Agreement.

15. In the event that the Water User subdivides the Land, water will only be supplied to one of the subdivided parcel(s) to be decided upon by the Water User.

16. In the event that the Water User has entered into or hereafter enters into an agreement whereby the Water User's Land is rented to a third party, the Water User shall remain liable to the Co-op for all Operating Charges, and other charges under this Agreement, notwithstanding that the third party may have entered into an agreement with the Co-op and notwithstanding that invoices may be addressed to the third party.

17. The Water User agrees to be bound by the Co-op's membership rules as attached hereto as Schedule "A" and amended from time to time.

Representations and Warranties

18. The Co-op makes no representations or warranties with respect to the quality or quantity of the water being supplied or the fitness for purpose. The Co-op further states that it does not guarantee the flow rate of the water being supplied.

Water Availability and Restriction

19. The Water User agrees to restrict water usage from time to time as directed by the Co-op upon the Coop determining that there is or will be a water shortage, or a maintenance requirement requires restricted consumption of water.

20. The Co-op shall not be responsible for any deficiency in the source of supply or water arising out of any malfunction of the Water Delivery System, the equipment or material thereof, or for any causes beyond the control of the Co-op.

Termination and Discontinuance

21. Upon the Water User transferring ownership of the Land, the Water User shall automatically cease to be a member of the Co-op and shall lose all rights and privileges under this Agreement, but shall continue to be liable under this Agreement for any outstanding obligations that the Water User has to the Co-op.

22. The Co-op reserves the right to discontinue or refuse to continue to supply raw water to the Water User's Land for any of the following reasons:

- (a) Lack of, or shortage of water available to the Co-op for distribution to its members;
- (b) Conditions, which in the opinion of the Co-op are dangerous to life or property;
- (c) Repairs, maintenance or alterations to the Water Delivery System, Meter or CC;
- (d) Non-payment of Operating Charges;
- (e) Resale of supplied raw water;
- (f) Insolvency or bankruptcy of the Water User; or
- (g) Upon breach of any of the terms of this Agreement.

23. The Co-op shall not be required to provide notice to the Water User for discontinuance of the supply of water for the reasons set forth in subparagraphs (a) to (c) above but shall give forty-eight hours notice for discontinuance or refusal to supply raw water for the reasons set forth in subparagraphs (d) to (g).

24. The Co-op shall have the right to charge a reconnection fee as set by the Board of Directors from time to time if the discontinuance of water is for any reason set forth in paragraphs 22(d) to (g).

25. The discontinuance or refusal to supply water pursuant to paragraph 22 above, shall in no way affect any other rights or remedies that the Co-op may have against the Water User.

Liability and Indemnification

26. The Co-op, its directors, officers, agents, employees and representatives shall not be liable to the Water User, its directors, officers, agents, employees and representatives for any loss, injury, damage, expense, charge, cost or liability of any kind suffered or incurred by the Water User, whether of a direct, indirect, special or consequential nature, however or whenever caused and whether in any way caused by or resulting from the acts or omissions of the Co-op.

27. For greater certainty and without limiting the generality of the foregoing, the Co-op is not liable for any loss, damage or physical harm to any person and arising from or caused directly or indirectly, in whole or in part by:

(i) The quality of water supplied;

(ii) The quantity of water supplied;

(iii) Any failure to supply water for any cause beyond the reasonable control of the Co-op, nor should it be liable for loss, costs, or damage to persons or property arising from the supply or use of water; or

(iv) Any failure to detect, fluctuation, reduction, or interruption in the provision of water supply by the Co-op to the Water User, whether resulting from the break or malfunction of any watermain, service, meter, private service or attachment or from the interruption in or cessation of water supply in connection with the repair or proper maintenance of the Water Delivery System.

28. The Water User shall indemnify and save harmless the Co-op from all liabilities, fines, suits, claims, demands, and actions of any kind or nature for which the Co-op shall or may become liable or suffer by reason of any breach, violation, or non-performance by the Water User, or by any person for whom the Water User is responsible, of any covenant, term, or provision of this Agreement or by reason of any act, neglect, or default on the part of the Water User, or other person for whom the Water User is responsible. Such indemnification shall survive the termination of this Agreement.

Notices

29. Any notice to be given pursuant to or concerning this Agreement shall be in writing and may be given by personal delivery, by electronic means, or by registered mail to the address provided below:

(a) To the Co-op:

P.O. Box 32
Hill Spring, AB T0K 1E0
Email: mountainvistaad@gmail.com

(b) To the Water User:

Entire Agreement

30. This Agreement constitutes the entire agreement between the parties. This Agreement shall not be amended unless consented to in writing by both parties.

Enurement

31. This Agreement shall be of force and effect to the benefit of and be binding upon the parties hereto and their successors and permitted assigns.

Counterparts

32. This Agreement may be executed in multiple counterparts, each of which will constitute an original, but all of which together will constitute one and the same instrument and may be signed and accepted by facsimile or other electronic means.

Waiver

33. A waiver of the Co-op of any default under this Agreement shall not extend to or be taken in any manner whatsoever to effect the right of the Co-op with respect to any subsequent default.

Governing Law

34. This Agreement is governed exclusively by, and is to be enforced, construed and interpreted exclusively in accordance with, the laws of Alberta.

Encumbrance

35. The Water User hereby charges and encumbers all his estate and interest in the Land to the extent of any monies owing by the Water User to the Co-op from time to time under the terms of this Agreement, together with any cost, including legal fees on a solicitor and client basis, incurred by the Co-op in the collection of such monies and acknowledges and agrees that the Co-op may on default of payment of any amount owing under this Agreement, register a caveat against the title to the Land respecting such debt. The foregoing shall be an addition to and not in derogation from or substitution for, any other rights or remedies to which the Co-op may be entitled.

Independent Legal Advice

36. The parties acknowledge that they have each had the opportunity to obtain independent legal advice.

Arbitration

37. In the event of any dispute as to the terms of this Agreement, such dispute shall be referred to arbitration by a single arbitrator for determination in accordance with the provisions of the *Arbitration Act* or other similar legislation in force in the Province of Alberta from time to time.

Time of Essence

38. Time is of the essence of this Agreement.

Regulations

39. This Agreement is made subject to any rules and regulations passed by the Board of Directors of the Co-op from time to time and of any governmental body having jurisdiction and such rules and regulations shall form a part of this Agreement. Copies of any rules and regulations passed by the Board of Directors are available to the Water User at the Co-op's head office, during regular business hours.

IN WITNESS WHEREOF the parties hereto have signed this Agreement on the date above.

MOUNTAIN VISTA WATER CO-OP LTD.

Per:

Witness

THE WATER USER

SCHEDULE A
CO-OP MEMBERSHIP RULES